

1 ENGROSSED HOUSE
2 BILL NO. 4426

By: Hilbert and Hill of the
House

3 and

4 Hall of the Senate

5
6
7 An Act relating to revenue and taxation; amending
8 Section 1, Chapter 340, O.S.L. 2022, as amended by
9 Section 1, Chapter 164, O.S.L. 2024 (68 O.S. Supp.
10 2024, Section 2357.105), which relates to income tax
11 credit for qualified economic development
12 expenditures; extending date for which the credit
will be in effect; and providing an effective date.

13 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

14 SECTION 1. AMENDATORY Section 1, Chapter 340, O.S.L.
15 2022, as amended by Section 1, Chapter 164, O.S.L. 2024 (68 O.S.
16 Supp. 2024, Section 2357.105), is amended to read as follows:

17 Section 2357.105. A. As used in this section:

18 1. "Eligible entity" means an entity incorporated and located
19 in the state with a qualifying project in a qualifying project
20 location;

21 2. "Qualifying project" means the new construction or expansion
22 of an eligible entity or the development of qualified initial
23 infrastructure to serve an eligible entity in a qualifying project
24 location;

1 3. "Qualifying project location" means a project located in an
2 industrial park, economic development zone, or port located within a
3 county in this state with a population of less than one hundred
4 thousand (100,000) persons ("Qualified Area"), or a project located
5 adjacent to a terminal, switching, or Class II or III railroad as
6 defined by the federal Surface Transportation Board;

7 4. "Project sponsor" means a local economic development
8 organization or authority, port authority, qualified industrial
9 park, or a terminal, switching, or Class II or III railroad;

10 5. "Project application" means an application submitted by a
11 project sponsor on behalf of a qualifying project for an allocation
12 of qualifying strategic industrial development enhancement (SIDE)
13 tax credits. Project applications must include a description of the
14 qualifying project, project location, detailed project costs, and a
15 summary of expected economic benefits and job creation;

16 6. "Qualified economic development expenditures" means
17 expenditures for land improvements, building construction, building
18 improvements and expansion, port terminal improvements, and the
19 purchase of certain machinery and equipment;

20 7. "Qualified initial infrastructure expenditures" means
21 expenditures for new rail infrastructure and improvements, which
22 includes the acquisition of right-of-way, engineering,
23 rehabilitation of existing inactive track to reinstate operation,
24 construction of new track such as industrial leads, switches, spurs,

1 and sidings, loading dock improvements, and transloading structures
2 involved with providing rail service to a qualifying project; and

3 8. "Project tax credit amount" means the amount of tax credits
4 allocated by Oklahoma Department of Commerce to a qualifying project
5 for qualified economic development and initial infrastructure
6 expenditures.

7 B. For tax years beginning after December 31, 2022, and ending
8 not later than December 31, ~~2027~~ 2032, there shall be allowed a
9 credit against the tax imposed pursuant to Section 2355 of this
10 title in an amount not to exceed ten percent (10%) of an eligible
11 entity's qualified economic development expenditures, subject to
12 limitations, determination, and allocation by the Oklahoma
13 Department of Commerce.

14 C. The total project tax credit amount may not exceed ten
15 percent (10%) of the qualified economic development expenditures,
16 except for qualified initial infrastructure expenditures the project
17 tax credit amount is earned at the rate of fifty percent (50%) of
18 qualified initial infrastructure expenditures.

19 D. 1. The project tax credit amount for qualified economic
20 development expenditures may not exceed Six Million Dollars
21 (\$6,000,000.00) per qualifying project.

22 2. The project tax credit amount for qualified initial
23 infrastructure expenditures may not exceed Three Million Dollars
24 (\$3,000,000.00) per qualifying project.

1 Projects are eligible to combine qualified economic development
2 and qualified initial infrastructure expenditures, but the total
3 project tax credit amount may not exceed Six Million Dollars
4 (\$6,000,000.00) per qualifying project in aggregate.

5 E. The issuance of the project tax credit amount shall be
6 subject to review of eligible expenditures and qualifying project
7 status by the Oklahoma Department of Commerce.

8 F. The credits authorized pursuant to this section may not be
9 used to reduce the tax liability of the taxpayer to less than zero
10 (0).

11 G. The credits allowed pursuant to this section that are not
12 used may be assigned to a qualifying project affiliate by written
13 agreement at any time during the tax year in which the credit is
14 earned or the five (5) years following the tax year the qualified
15 expenditures are incurred. For purposes of this subsection, a
16 "qualifying project affiliate" shall include a customer, vendor,
17 project investor, or strategic finance partner of the eligible
18 entity subject to the Oklahoma corporate or individual income tax.
19 The eligible taxpayer and the qualifying project affiliate must
20 jointly file a copy of the written assignment agreement with the
21 Oklahoma Tax Commission within thirty (30) days of the assignment.
22 The written agreement must contain the name, address, and taxpayer
23 identification number of the parties to the assignment, the tax year
24 the eligible taxpayer incurred the qualified expenditures, the

1 amount of credit being assigned, and the tax year or years for which
2 the credit may be claimed.

3 H. To the extent not used, the tax credit authorized by this
4 section may be carried over, in order, to each of the five (5)
5 subsequent taxable years.

6 I. Credits allocated by the Department shall not exceed Twelve
7 Million Dollars (\$12,000,000.00) in a tax year. Qualifying projects
8 that have submitted an application and are not allocated all or part
9 of credit for qualified economic development expenditures or
10 qualified initial infrastructure expenditures shall be eligible for
11 credit in subsequent tax years.

12 J. 1. The Oklahoma Tax Commission may promulgate rules, forms,
13 and regulations as are necessary to implement and administer the
14 provisions of this section and certify the tax credit amount
15 generated by each qualifying project annually.

16 2. The Oklahoma Department of Commerce shall promulgate rules
17 to permit verification of the eligibility of a qualifying project
18 for the purpose of claiming the credit. The rules shall provide for
19 the approval of qualified economic development expenditures prior to
20 commencement of a project and provide a certificate of verification
21 upon completion of a project that uses qualified economic
22 development expenditures. The certificate of verification shall
23 satisfy all requirements of the Oklahoma Tax Commission pertaining
24 to the eligibility of the eligible taxpayer claiming the credit.

SECTION 2. This act shall become effective November 1, 2026.

Passed the House of Representatives the 24th day of February,
2026.

Presiding Officer of the House
of Representatives

Passed the Senate the ____ day of _____, 2026.

Presiding Officer of the Senate